LOLC HOLDINGS PLC

(FORMERLY KNOWN AS LANKA ORIX LEASING COMPANY PLC)

INTERIM FINANCIAL STATEMENTS

SIX MONTH PERIOD ENDED 30 SEPTEMBER 2018

LOLC Holdings PLC
(Formerly known as Lanka Orix Leasing Company PLC)
Interim Financial Statements
For the six month period ended 30 September 2018

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LOLC Holdings PLC
(Formerly known as Lanka Orix Leasing Company PLC)
Lanka Orix Leasing Company PLC
Statement of Financial Position

Group	Company		Group		Company	
31-Mar-18	31-Mar-18	*As at*	30-Sep-18	30-Sep-17	30-Sep-18	30-Sep-17
Rs.' 000	Rs.' 000		Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000
Audited	Audited		Un-audited	Un-audited	Un-audited	Un-audited
		Assets				
51,133,160	281,209	Cash and cash equivalents	84,588,989	55,651,815	451,288	1,696,014
3,168,463	341,399	Trading assets - fair value through profit or loss	8,064,411	11,280,722	317,548	459,188
80,136,613	9,936,230	Investment securities	79,782,375	74,544,850	5,341,099	366,953
56,724,874	2,888	Finance lease receivables, hire purchases and operating leases	59,957,632	54,164,591	1,028	4,271
493,251,097	2,342,042	Advances and other loans	559,362,382	434,308,490	1,825,252	695,578
1,112,966	-	Insurance premium receivables	1,228,908	996,253	-	-
4,579,203	251,875	Inventories	5,026,404	3,529,574	478,367	352,256
1,284,651	172,790	Current tax assets	1,348,354	358,653	301,792	159,056
26,058,144	18,307,042	Trade and other current assets	16,302,842	23,666,118	18,322,373	17,211,581
2,305,861	-	Prepaid lease rentals on leasehold properties	2,483,400	737,521	-	-
14,352,331	882,500	Investment properties	14,460,122	10,688,203	882,500	376,600
		Biological Assets;				
3,305,919	-	Consumable biological assets	3,324,071	2,987,659	-	-
1,212,197	-	Bearer biological assets	1,248,632	1,168,911	-	-
		Investments in group companies;				
-	68,301,090	Subsidiary companies	-	-	79,772,656	62,977,395
-	-	Joint venture companies	183,037	-	-	-
17,451,392	4,314,001	Equity accounted investees - Associates	18,146,251	16,956,213	4,314,001	4,314,001
1,914,813	-	Deferred tax assets	2,271,548	1,328,644	275	-
13,954,791	220,378	Intangible assets	14,309,022	13,426,079	556,584	217,841
50,293,016	5,369,609	Property, plant and equipment	56,366,827	42,176,632	5,547,646	6,852,908
822,239,491	**110,723,053**	**Total assets**	**928,455,208**	**747,970,928**	**118,112,409**	**95,683,642**
		Liabilities and equity				
		Liabilities				
9,293,783	2,459,828	Bank overdrafts	10,687,317	7,789,870	3,633,233	1,889,612
754,089	-	Trading liabilities - fair value through profit or loss	35,127	922,953	-	186
307,528,600	-	Deposits liabilities	377,177,778	271,491,695	-	-
332,254,802	51,781,301	Interest bearing borrowings	360,195,858	314,975,136	61,645,918	42,499,271
2,877,925	-	Insurance provision - life	2,996,645	2,697,417	-	-
3,438,534	-	Insurance provision - general	3,585,999	3,097,723	-	-
4,812,096	718,156	Current tax payables	6,929,276	5,321,758	795,325	123,531
37,193,512	3,513,803	Trade and other payables	30,265,513	25,292,063	1,358,847	4,055,859
4,935,030	323,146	Deferred tax liabilities	4,911,433	3,878,988	323,146	236,650
184,404	-	Deferred income	185,863	205,962	-	-
1,434,161	291,463	Retirement benefit obligations	1,514,545	2,226,005	313,692	255,014
704,706,936	**59,087,697**	**Total liabilities**	**798,485,355**	**637,899,570**	**68,070,161**	**49,060,123**
		Equity				
475,200	475,200	Stated capital (475,200,000 shares)	475,200	475,200	475,200	475,200
11,683,569	2,930,211	Reserves	18,010,775	8,974,614	2,713,937	3,396,071
58,303,245	48,229,945	Retained earnings	70,402,328	54,707,576	46,853,111	42,752,248
70,462,014	**51,635,356**	**Equity attributable to shareholders of the Company**	**88,888,302**	**64,157,390**	**50,042,248**	**46,623,519**
47,070,541	-	Non-controlling interests	41,081,551	45,913,968	-	-
117,532,555	**51,635,356**	**Total equity**	**129,969,853**	**110,071,358**	**50,042,248**	**46,623,519**
822,239,491	**110,723,053**	**Total liabilities & equity**	**928,455,208**	**747,970,928**	**118,112,409**	**95,683,642**
148.28	**108.66**	**Net assets per share (Rs.)**	**187.05**	**135.01**	**105.31**	**98.11**

I certify that these Financial Statements have been prepared and presented in compliance with the requirements of the Companies Act, No.07 of 2007.

Sgd.
Mrs. S.S. Kotakadeniya
Chief Financial Officer - LOLC Group

The board of directors is responsible for the preparation and the presentation of these Financial Statements.
Approved and signed for and on behalf of the Board;

Sgd.
Mrs. K.U.Amarasinghe
Director
15th November 2018, Rajagiriya (Greater Colombo)

Sgd.
Mr. W.D.K. Jayawardena
Group Managing Director / CEO

LOLC Holdings PLC
(Formerly known as Lanka Orix Leasing Company PLC)
Statement of Profit or Loss

	Group					
	Three Months Ended			Six Months Ended		
	30-Sep-18 Rs.' 000	30-Sep-17 Rs.' 000	Variance %	30-Sep-18 Rs.' 000	30-Sep-17 Rs.' 000	Variance %
Gross income	**41,320,241**	**35,734,620**	**16**	**79,410,261**	**69,505,473**	**14**
Interest income	30,304,721	25,021,996	21	58,644,343	48,410,077	21
Interest expense	(16,831,149)	(14,410,194)	(17)	(32,701,801)	(28,072,205)	(16)
Net interest income	**13,473,572**	**10,611,802**	**27**	**25,942,542**	**20,337,872**	**28**
Revenue	5,733,691	5,799,466	(1)	10,711,708	10,642,144	1
Cost of sales	(4,101,898)	(3,791,993)	(8)	(7,504,181)	(6,746,338)	(11)
Gross profit	**1,631,793**	**2,007,473**	**(19)**	**3,207,527**	**3,895,806**	**(18)**
Income	4,242,046	3,565,981	19	7,998,627	6,425,688	24
Other income/(expenses) (Including net finance cost)	1,039,782	1,347,177	(23)	2,055,582	4,027,564	(49)
Profit before operating expenses	**20,387,193**	**17,532,433**	**16**	**39,204,278**	**34,686,930**	**13**
Operating expenses						
VAT on financial services	(651,895)	(712,893)	9	(1,314,315)	(1,272,857)	(3)
Other direct expenses excluding finance costs	(1,430,277)	(1,476,977)	3	(2,790,587)	(2,776,600)	(1)
Personnel costs	(4,833,244)	(4,555,735)	(6)	(10,009,803)	(8,944,600)	(12)
Net impairment (loss) / reversal on financial assets	(4,079,948)	(2,321,073)	(76)	(5,805,494)	(3,743,485)	(55)
Depreciation and amortization	(621,943)	(568,270)	(9)	(1,218,559)	(1,096,727)	(11)
Other operating expenses	(4,223,770)	(3,033,012)	(39)	(7,719,420)	(6,076,722)	(27)
Results from operating activities	**4,546,116**	**4,864,473**	**(7)**	**10,346,100**	**10,775,939**	**(4)**
Share of profits of equity accounted investees	426,985	357,044	20	719,020	934,336	(23)
Profit before income tax expense	**4,973,101**	**5,221,517**	**(5)**	**11,065,120**	**11,710,275**	**(6)**
Income tax expense	(1,783,021)	(1,484,033)	(20)	(3,550,412)	(2,894,137)	(23)
Profit for the period	**3,190,081**	**3,737,484**	**(15)**	**7,514,709**	**8,816,138**	**(15)**
Profit attributable to;						
Equity holders of the Company	1,316,896	1,856,767	(29)	4,371,051	4,712,410	(7)
Non-controlling interests	1,873,184	1,880,717	(0)	3,143,657	4,103,728	(23)
	3,190,081	**3,737,484**	**(15)**	**7,514,709**	**8,816,138**	**(15)**
Basic earnings per share (Rs.)	**2.77**	**3.91**	**(29)**	**9.20**	**9.92**	**(7)**

Figures in brackets indicate deductions.
The above figures are not audited

Statement of Other Comprehensive Income

	Group					
	Three Months Ended			Six Months Ended		
	30-Sep-18 Rs.' 000	30-Sep-17 Rs.' 000	Variance %	30-Sep-18 Rs.' 000	30-Sep-17 Rs.' 000	Variance %
Profit for the period	**3,190,081**	**3,737,484**	**(15)**	**7,514,709**	**8,816,138**	**(15)**
Other comprehensive income						
Net change in fair value of available-for-sale financial assets	1,589	180,095	99	(99,648)	490,314	120
Effect on translation differences for foreign operations	4,435,238	(82,621)	(5,468)	4,413,022	(78,004)	5,757
Effective portion of changes in fair value of cash flow hedge	(277,909)	(234,349)	(19)	96,553	(397,629)	124
Other comprehensive income/ (expense) for the year, net of tax	**4,158,917**	**(136,875)**	**(3,138)**	**4,409,926**	**14,681**	**29,938**
Total comprehensive income / (expense) for the period	**7,348,998**	**3,600,609**	**104**	**11,924,635**	**8,830,819**	**35**
Total comprehensive income / (expense) attributable to;						
Equity holders of the Company	3,134,157	1,789,391	75	6,123,327	4,736,238	29
Non-controlling interests	4,214,841	1,811,218	133	5,801,308	4,094,581	42
Total comprehensive income / (expense) for the period	**7,348,998**	**3,600,609**	**104**	**11,924,635**	**8,830,819**	**35**

Figures in brackets indicate deductions.
The above figures are not audited

LOLC Holdings PLC
(Formerly known as Lanka Orix Leasing Company PLC)
Statement of Profit or Loss

	Company					
	Three Months Ended			Six Months Ended		
	30-Sep-18 Rs.' 000	30-Sep-17 Rs.' 000	Variance %	30-Sep-18 Rs.' 000	30-Sep-17 Rs.' 000	Variance %
Gross income	**2,463,668**	**2,186,761**	**13**	**5,248,415**	**5,094,405**	**3**
Interest income	665,321	541,247	23	1,516,350	1,452,186	4
Interest expense	(1,905,586)	(1,421,745)	(34)	(3,678,925)	(2,928,505)	(26)
Net interest income	**(1,240,265)**	**(880,498)**	**(41)**	**(2,162,575)**	**(1,476,319)**	**(46)**
Revenue	482,725	-	-	482,725	-	-
Less: cost of sales	(446,922)	-	-	(446,922)	-	-
Gross profit	**35,803**	**-**	**-**	**35,803**	**-**	**-**
Income	1,115,625	780,604	43	2,071,439	1,789,379	16
Other income/(expenses)	199,997	864,910	(77)	1,177,901	1,852,840	(36)
Profit before operating expenses	**111,160**	**765,016**	**(85)**	**1,122,568**	**2,165,900**	**(48)**
Operating expenses						
VAT on financial services	(19,913)	(14,883)	(34)	(53,913)	(31,780)	(70)
Other direct expenses excluding finance costs	(3,253)	(7,648)	57	(3,837)	(15,289)	75
Personnel costs	(338,579)	(219,523)	(54)	(659,976)	(600,026)	(10)
Net impairment (loss) / reversal on financial assets	457	133	244	6,802	1,689	303
Depreciation and amortization	(140,701)	(124,308)	(13)	(267,258)	(227,924)	(17)
Other operating expenses	(801,312)	(928,315)	14	(1,504,475)	(1,568,014)	4
Profit/(Loss) before income tax expense	**(1,192,141)**	**(529,528)**	**125**	**(1,360,089)**	**(275,444)**	**394**
Income tax expense	(16,745)	(40,049)	58	(16,745)	(111,184)	85
Profit/(Loss) for the period	**(1,208,886)**	**(569,577)**	**(112)**	**(1,376,834)**	**(386,628)**	**(256)**
Profit/(Loss) attributable to;						
Equity holders of the Company	(1,208,886)	(569,577)	(112)	(1,376,834)	(386,628)	(256)
Non-controlling interests	-	-	-	-	-	-
	(1,208,886)	**(569,577)**	**(112)**	**(1,376,834)**	**(386,628)**	**(256)**
Basic earnings/(loss) per share (Rs.)	**(2.54)**	**(1.20)**	**(112)**	**(2.90)**	**(0.81)**	**(256)**

Figures in brackets indicate deductions.
The above figures are not audited

Statement of Other Comprehensive Income

	Company					
	Three Months Ended			Six Months Ended		
	30-Sep-18 Rs.' 000	30-Sep-17 Rs.' 000	Variance %	30-Sep-18 Rs.' 000	30-Sep-17 Rs.' 000	Variance %
Profit/(Loss) for the period	**(1,208,886)**	**(569,577)**	**(112)**	**(1,376,834)**	**(386,628)**	**(256)**
Other comprehensive income						
Net change in fair value of available-for-sale financial assets	(33,006)	(44,655)	26	(86,399)	18,445	(568)
Other comprehensive income/ (expense) for the year, net of tax	**(33,006)**	**(44,655)**	**26**	**(86,399)**	**18,445**	**(568)**
Total comprehensive income / (expense) for the period	**(1,241,892)**	**(614,232)**	**(102)**	**(1,463,233)**	**(368,183)**	**(297)**
Total comprehensive income / (expense) attributable to;						
Equity holders of the Company	(1,241,892)	(614,232)	(102)	(1,463,233)	(368,183)	(297)
Non-controlling interests	-	-	-	-	-	-
Total comprehensive income / (expense) for the period	**(1,241,892)**	**(614,232)**	**(102)**	**(1,463,233)**	**(368,183)**	**(297)**

Figures in brackets indicate deductions.
The above figures are not audited

LOLC Holdings PLC
(Formerly known as Lanka Orix Leasing Company PLC)
Statement of Changes in Equity
For the six month period ended 30 September 2018

	Equity attributable to the shareholders of the Company						
Company	**Stated Capital**	**Revaluation Reserve**	**Fair Value Reserve on AFS**	**Future Taxation Reserve**	**Merger Reserve**	**Retained Earnings**	**Total**
	Rs.' 000	**Rs.' 000**	**Rs.' 000**	**Rs.' 000**	**Rs.' 000**	**Rs.' 000**	**Rs.' 000**
Balance as at 01 April 2017	**475,200**	**3,139,620**	**33,006**	**205,000**	**-**	**43,138,876**	**46,991,702**
Total comprehensive income for the period							
Profit for the period	-	-	-	-	-	(386,628)	**(386,628)**
Other comprehensive income							
Net change in fair value of available-for-sale financial assets (net of tax)	-	-	18,445	-	-	-	**18,445**
Total comprehensive income for the period	-	-	18,445	-	-	(386,628)	**(368,183)**
Balance as at 30 September 2017	**475,200**	**3,139,620**	**51,451**	**205,000**	**-**	**42,752,248**	**46,623,519**
Balance as at 01 April 2018	**475,200**	**2,715,503**	**9,708**	**205,000**		**48,229,945**	**51,635,356**
Total comprehensive income for the period							
Profit/(loss) for the period	-	-	-	-		(1,376,834)	**(1,376,834)**
Other comprehensive income							
Net change in fair value of available-for-sale financial assets (net of tax)	-	-	(86,399)	-	-	-	**(86,399)**
							-
Total comprehensive income for the period	**-**	**-**	**(86,399)**	**-**	**-**	**(1,376,834)**	**(1,463,233)**
Gain/loss on Amalgamation	-	-	-	-	(129,875)	-	**(129,875)**
Balance as at 30 September 2018	**475,200**	**2,715,503**	**(76,691)**	**205,000**	**(129,875)**	**46,853,111**	**50,042,248**

Figures in brackets indicate deductions.
The above figures are not audited

LOLC Holdings PLC
(Formerly known as Lanka Orix Leasing Company PLC)
Statement of Changes in Equity
For the six month period ended 30 September 2018

	Equity Attributable to the Owners of the Company										
Group	**Stated Capital**	**Revaluation Reserve**	**Cash flow hedge Reserve**	**Fair Value Reserve on AFS**	**Translation Reserve**	**Future Taxation Reserve**	**Statutory Reserve Fund**	**Retained Earnings**	**Total**	**Non-controlling Interests**	**Total Equity**
	Rs.' 000	**Rs.' 000**	**Rs.' 000**	**Rs.' 000**	**Rs.' 000**	**Rs.' 000**	**Rs.' 000**	**Rs.' 000**	**Rs.' 000**	**Rs.' 000**	**Rs.' 000**
Balance as at 01 April 2017	**475,200**	**6,601,609**	**118,358**	**(895,216)**	**744,533**	**205,000**	**2,158,162**	**49,442,053**	**58,849,699**	**43,766,141**	**102,615,840**
Total comprehensive income for the period											
Profit for the period	-	-	-	-	-	-	-	4,712,410	**4,712,410**	4,103,728	**8,816,138**
Other comprehensive income											
Net change in fair value of available-for-sale financial assets	-	-	-	469,048	-	-	-	-	**469,048**	21,266	**490,314**
Net movement of cash flow hedges	-	-	(345,503)	-	-	-	-	-	**(345,503)**	(52,126)	**(397,629)**
Effect on translation differences for foreign operations	-	-	-	-	(99,717)	-	-	-	**(99,717)**	21,713	**(78,004)**
Total comprehensive income for the period	**-**	**-**	**(345,503)**	**469,048**	**(99,717)**	**-**	**-**	**4,712,410**	**4,736,238**	**4,094,581**	**8,830,819**
Reserve transfers	-	-	-	-	-	-	18,568	(18,568)	**-**	-	**-**
Depreciation transfer on revaluation	-	(228)	-	-	-	-	-	228	**-**	-	**-**
Dividends paid to non-controlling interests	-	-	-	-	-	-		-	**-**	(747,197)	**(747,197)**
Non-controlling interest recognized on acquisition of Subsidiaries	-	-	-	-	-	-	-	-	**-**	1,659,336	**1,659,336**
NCI contribution for subsidiary share issues	-	-	-	-	-	-	-	-	**-**	148	**148**
Changes in ownership interests that do not result in a change in control	-		-	-	-	-	-	571,453	**571,453**	(2,859,041)	**(2,287,588)**
Balance as at 30 September 2017	**475,200**	**6,601,381**	**(227,145)**	**(426,168)**	**644,816**	**205,000**	**2,176,730**	**54,707,576**	**64,157,390**	**45,913,968**	**110,071,358**
Balance as at 01 April 2018	**475,200**	**7,583,355**	**(41,026)**	**171,674**	**1,101,554**	**205,000**	**2,663,011**	**58,303,245**	**70,462,014**	**47,070,541**	**117,532,555**
Total comprehensive income for the period											
Profit for the period	-	-	-	-	-	-	-	4,371,051	**4,371,051**	3,143,657	**7,514,709**
Other comprehensive income											
Net change in fair value of available-for-sale financial assets	-	-	-	(58,120)	-	-	-	-	**(58,120)**	(41,528)	**(99,648)**
Effective portion of changes in fair value of cash flow hedge	-	-	93,895	-	-	-	-	-	**93,895**	2,657	**96,553**
Effect on translation differences for foreign operations	-	-	-	-	1,716,500	-	-	-	**1,716,500**	2,696,522	**4,413,022**
Total comprehensive income for the period	**-**	**-**	**93,895**	**(58,120)**	**1,716,500**	**-**	**-**	**4,371,051**	**6,123,327**	**5,801,308**	**11,924,635**
Reserve transfers	-	-	-	-	-	-	4,575,111	(4,575,111)	**-**	-	**-**
Depreciation transfer on revaluation	-	(180)	-	-	-	-	-	180	**-**	-	**-**
NCI contribution for subsidiary share issues	-	-	-	-	-	-	-	-	**-**	512,712	**512,712**
Changes in ownership interests that do not result in a change in control	-	-	-	-	-	-	-	12,302,963	**12,302,963**	(12,303,011)	**(48)**
Balance as at 30 September 2018	**475,200**	**7,583,175**	**52,869**	**113,554**	**2,818,054**	**205,000**	**7,238,122**	**70,402,328**	**88,888,304**	**41,081,551**	**129,969,854**

Figures in brackets indicate deductions.
The above figures are not audited

LOLC Holdings PLC
(Formerly known as Lanka Orix Leasing Company PLC)
Statement of Cash Flows

For the six month period ended 30 September	Group		Company	
	2018	**2017**	**2018**	**2017**
	Rs.' 000	**Rs.' 000**	**Rs.' 000**	**Rs.' 000**
CASH FLOW FROM OPERATING ACTIVITIES				
Profit before income tax expense	11,065,120	11,710,275	(1,360,089)	(275,444)
Adjustment for:				
(Gain) / loss on sale of property, plant and equipment	(83,406)	(83,403)	(29,145)	(60,920)
Depreciation and amortization	1,218,559	1,096,727	267,258	227,924
Insurance provision	266,186	1,016,733	-	-
Change in fair value of forward contracts	(233,525)	86,805	-	-
Provision for gratuity	171,830	164,652	24,766	22,636
Net impairment (loss) / reversal on financial assets	5,805,494	3,743,485	(6,802)	(1,689)
Provision for fall/(increase) in value of investments	96,932	(182,053)	23,850	(9,443)
Investment Income	(11,033)	(423,259)	(14,523)	(30,056)
Finance costs	32,701,801	28,072,205	3,678,925	2,928,505
Interest income	(2,872,234)	(3,016,412)	-	-
(Profit)/loss on sale of quoted and non-quoted shares	-	(916,325)	-	125
Share of profits of equity accounted investees	(719,020)	(934,336)	-	-
Transaction cost on acquisition of subsidiaries	-	3,625	-	-
Operating profit before working capital changes	**47,406,705**	**40,338,719**	**2,584,240**	**2,801,638**
Working capital changes				
Increase/(decrease) in trade and other payables	(3,813,409)	7,913,861	(6,906,257)	2,336,587
(Increase)/decrease in investment in leases, hire purchase and others	(3,263,214)	(2,673,455)	1,860	3,151
(Increase)/decrease in investment in advances and other loans	(71,886,323)	(70,167,296)	523,591	88,222
(Increase)/decrease in premium receivables	(115,942)	84,505	-	-
(Increase)/decrease in inventories	(447,201)	540,949	(226,492)	11,772
(Increase)/decrease in trade and other receivables	9,755,302	(8,607,522)	457,015	9,038,039
(Increase)/decrease in customer deposits	69,649,178	60,147,166	-	-
Cash generated from operations	**47,285,096**	**27,576,927**	**(3,566,043)**	**14,279,409**
Finance cost paid	(29,436,898)	(23,506,398)	(3,416,095)	(2,858,893)
Income tax and Economic Service Charge paid	(1,475,335)	(579,771)	(68,578)	(128,897)
Defined benefit plan costs paid	(91,446)	(117,932)	(6,357)	(2,169)
Net cash from/(used in) operating activities	**16,281,417**	**3,372,826**	**(7,057,073)**	**11,289,450**
CASH FLOW FROM INVESTING ACTIVITIES				
Investment in subsidiary companies	-	-	(8,925,970)	(1,306,716)
Net cash and cash equivalents on acquisition of subsidiary	-	688,049	10,543	-
Investment in equity accounted investees	-	(306,441)	-	-
Acquisition of Jointly controlled entities	(183,037)	-	-	-
Acquisition of non-controlling interests	-	(2,286,764)	-	-
Acquisition/ (Disposal) of property, plant and equipment and leasehold rights	(7,322,309)	(1,857,211)	(427,893)	(444,310)
Acquisition / (Disposal) of intangible assets	(465,452)	(75,835)	(394,659)	(62,587)
Net additions to trading assets	(4,992,880)	(6,532,783)	-	-
Net additions to investment securities	254,590	(18,341,702)	9,989,216	3,335
Proceeds from the sale of property, plant and equipment	136,277	112,974	78,963	105,797
Interest received	2,872,234	3,036,719	-	-
Dividend received	35,603	452,038	14,523	30,056
Net additions to biological assets	(74,089)	(45,333)	-	-
Net cash flow from investing activities	**(9,739,063)**	**(25,156,289)**	**344,723**	**(1,674,425)**
CASH FLOW FROM FINANCING ACTIVITIES				
Net cash proceeds from short-term interest bearing loans and borrowings	(2,929,128)	(21,191,166)	5,122,991	(13,880,191)
Principal repayment under finance lease liabilities	(102,659)	(310,580)	44,320	(24,823)
Proceeds from long-term interest bearing loans and borrowings	27,942,511	68,659,905	1,847,801	6,361,556
Repayments of long-term interest bearing loans and borrowings	96,505	(23,615,609)	(1,306,088)	(1,033,881)
Dividends paid to non-controlling interests	-	(747,197)	-	-
NCI contributions to share issue of subsidiaries	512,712	148	-	-
Net cash generated from financing activities	**25,519,941**	**22,795,501**	**5,709,024**	**(8,577,339)**
Net increase/(decrease) in cash and cash equivalents during the period	32,062,295	1,012,038	(1,003,326)	1,037,686
Cash and cash equivalents at the beginning of the period	41,839,377	46,849,907	(2,178,619)	(1,231,284)
Cash and cash equivalents at the end of the period	**73,901,672**	**47,861,945**	**(3,181,945)**	**(193,598)**
Analysis of cash and cash equivalents at the end of the period				
Cash in Hand and Favorable Bank Balances	84,588,989	55,651,815	451,288	1,696,014
Unfavorable Bank Balances used for cash management purposes	(10,687,317)	(7,789,870)	(3,633,233)	(1,889,612)
	73,901,672	**47,861,945**	**(3,181,945)**	**(193,598)**

Figures in brackets indicate deductions.
The above figures are not audited

1 The Statement of Financial Position as at 30 September 2018, Income Statement, Statement of Comprehensive Income, Statement of Cash Flows and Statement of Changes in Equity of the Company and the Group for the six months period ended thereof are drawn up from unaudited financial statements of the Company, its subsidiaries and associates and provide information as required by the Colombo Stock Exchange and LKAS 34. Further, provisions of the Companies Act No.7 of 2007 has been considered in preparing the said financial statements of the Company and of the Group.

2 Accounting policies and methods of computation as stated in the Financial Statements for 2017/18 are followed in the preparation of these Interim Financial Statements.

New standards, interpretations and amendments adopted by the Group

(a) SLFRS 15 Revenue from Contracts with Customers

SLFRS 15 supercedes LKAS 11 Construction Contracts, LKAS 18 Revenue and related Interpretations and it applies to all revenue arising from contracts with customers, unless those contracts are in the scope of other standards. The new standard establishes a five-step model to account for revenue arising from contracts with customers. Under SLFRS 15, revenue is recognised at an amount that reflects the consideration to which an entity expects to be entitled to in exchange for transferring goods or services to a customer.

The standard requires entities to exercise judgement, taking into consideration all of the relevant facts and circumstances when applying each step of the model to contracts with their customers. The standard also specifies the accounting for the incremental costs of obtaining a contract and the costs directly related to fulfilling a contract.

The Group adopted SLFRS 15 using the full retrospective method of adoption. Based on the assessment performed, the Group concluded that SLFRS 15 does not have a material impact on the Group's consolidated financial statements.

(b) SLFRS 9 Financial Instruments

The Sri Lanka Accounting Standard – SLFRS 9 on "Financial Instruments", which replaces the existing guidance on LKAS 39 on "Financial Instruments: Recognition and Measurement" has become effective for annual reporting periods beginning on or after 01 January 2018.

SLFRS 9 replaces the "Incurred Loss Model" in LKAS 39 with forward looking "Expected Credit Loss Model ("ECL") which requires considerable judgement over how changes in economic factors affect ECL, in turn is to be determined on a probability weighted basis. SLFRS 9 also contains a new classification and measurement approach for financial assets that reflect the business model in which assets are managed based on their cash flow characteristics.

Based on the "Statement of Alternative Treatment (SoAT) on the Figures in the Interim Financial Statements" issued by The Institute of Chartered Accountants of Sri Lanka entities are granted with the option to prepare Interim Financial Statements continuing the application of LKAS 39 with disclosures on impact to the Income Statement and Statement of Profit or Loss and Other Comprehensive Income for the period if SLFRS 9 has been applied. Accordingly, as permitted by the above SoAT, the Group has prepared the Interim Financial Statements for the quarter ended 30th June 2018 based on LKAS 39.

Impact on Statement of Comprehensive Income and Net Assets

Based on the assessments undertaken to date which is yet to be audited, the total estimated additional loan loss provision as at 31 March 2018 on adoption of SLFRS 9 is expected to 15%-20% compared to the total impairment provision determined as per LKAS 39. The impact of the new classification for financial assets is not expected to be material.

Accordingly, the increase in impairment provision based on ECL model under SLFRS 9, had it been effective as at 31st March, 2018 and will have reduce the Group's net assets by a negligible amount. The Group is in the process of validating the impact of migration to SLFRS 9

3 Revenue includes revenue from trading, manufacturing, leisure, plantation and other activities of the Group.

4 Interest income and income represent the income receivable for the period on all contracts, rentals on operating leases, income on factoring of client debtors, earned premium on insurance contracts and IT service fees. It includes all income related to operations such as interest on overdue rentals, profit/loss on leases and loans terminated and collections on contracts written off.

5 Other income / (expenses) includes foreign exchange gains / (losses), realized capital gains, capital gains and losses arising from marked to market valuation of quoted shares held for trading purposes, rent income and dividend.

6 All expenses related to management expenditure is fully provided for in the financial statements.

7 There are no significant changes in the nature of the contingent liabilities disclosed in the Financial Statements for the year ended 31 March 2018.

8 No circumstances have arisen since the reporting date, which would require adjustments to or disclosure in the financial statements other than disclosed as follows.

9 Market prices of ordinary shares recorded during the quarter ended 30 September 2018 are as follows;

Closing price	86.10
Highest Price	105.00
Lowest Price	85.00

10 Information on Company's listed debentures

10.1 Interest rate of comparable government security

Buying and Selling prices of Treasury Bonds as per the Central Bank Reports on 28th September 2018

	Buying	Selling
4 Year Bond		
Price Rs.	97.70	98.10
Yield	10.56%	10.43%
5 Year Bond		
Price Rs.	96.58	97.11
Yield	10.72%	10.58%

10.2 Market prices and yield during the period (ex interest)

	4 Year Bond	5 Year Bond
Price Rs.	97.90	96.85
Yield	10.50%	10.65%

	Current period
Yield to maturity of trade done on 17th September 2018	10.32

Debt to equity	1.36	times
Interest cover	1.34	times
Quick asset ratio	2.33	times

10.3 The market prices and yield during the period (ex interest)

Highest price	90.12
Lowest price	82.26
Last traded price	88.70

11 Backed to backed deposits details	**As at 30 September 2018**
	Rs. '000
Back to back deposits on foreign funding	21,602,096
Interest income earned on back to back deposits	363,008

12 Group Portfolio information	**As at 30 September 2018**
	Rs. '000
Gross portfolio	626,270,299
Non-performing portfolio > 6 months	16,199,106
Allowance for non-performing portfolio	13,960,300

13 Amalgamation of Ceylon Roots (Pvt) Ltd with LOLC Holdings PLC

In compliance to the Section 242 of Companies Act No. 07 of 2007, Ceylon Roots (Pvt) Ltd (CRL) which was a fully owned subsidiary of the LOLC Holding PLC (holding company of the group) was amalgamated with LOLC Holdings PLC with effect from 31st July, 2018.

The carrying amounts of the identifiable assets and liabilities of the acquiree as at 31st July 2018 which is the merger date is as follows;

	31st July 2018
	In Rs' 000
Assets	
Cash and cash equivalents	30,009
Investment securities	5,349,727
Current tax assets	89,445
Trade and other current assets	434,126
Investments in group companies;	
Subsidiary companies	6,440,223
Deferred tax assets	275
Property, plant and equipment	8,763
	12,352,566
Liabilities	
Bank overdrafts	19,466
Interest bearing borrowings	4,144,974
Current tax payables	173,155
Trade and other payables	4,231,231
Retirement benefit obligations	3,821
	8,572,647
Carrying amount of identifiable net assets acquired	**3,779,919**
Results of the acquisitions of above entity are as follows;	
Investment	3,909,794
Carrying amount of identifiable net assets merged	3,779,919
Resulting Loss	**129,875**

Since this business combination is within entities under the common control of the ultimate parent LOLC, no goodwill is recognized and upon the merger, the loss of Rs. 129,875/- was recognized in equity of the Company.

LOLC Holdings PLC
(Formerly known as Lanka Orix Leasing Company PLC)
Operating Segments

For the six month period ended 30 September 2018	Financial Services	Long term & General Insurance	Manufacturing & Trading	Leisure & Entertainment	Plantation & Power Generation	Equity Accounted Investees	Others / Eliminations	Total
	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000
Gross income	70,385,473	3,398,623	9,453,970	733,706	1,192,761	-	(5,754,273)	**79,410,261**
Net interest cost	(31,686,605)	(5,183)	(1,291,834)	(1,102,473)	(299,114)	-	1,683,408	**(32,701,801)**
Cost of sales	(446,922)	-	(6,450,429)	(173,298)	(380,583)	-	(52,950)	**(7,504,181)**
Profit before operating expenses	**38,251,946**	**3,393,440**	**1,711,707**	**(542,065)**	**513,064**	**-**	**(4,123,814)**	**39,204,278**
Operating expenses	(25,822,884)	(3,202,895)	(2,478,173)	(634,756)	(639,796)	-	3,920,325	**(28,858,178)**
Results from operating activities	**12,429,063**	**190,545**	**(766,465)**	**(1,176,821)**	**(126,732)**	**-**	**(203,490)**	**10,346,100**
Share of profits of equity accounted investees	-	-	-	-	-	719,020	-	**719,020**
Profit before taxation	**12,429,063**	**190,545**	**(766,465)**	**(1,176,821)**	**(126,732)**	**719,020**	**(203,490)**	**11,065,120**
For the six month period ended 30 September 2017								
Gross income	60,602,231	3,262,805	8,722,781	1,330,802	1,693,440	-	(6,106,586)	69,505,473
Net interest cost	(28,032,277)	(1)	(722,914)	(863,423)	(289,283)	-	1,835,693	(28,072,205)
Cost of sales	-	-	(5,988,999)	(502,152)	(259,354)	-	4,167	(6,746,338)
Profit before operating expenses	32,569,954	3,262,804	2,010,868	(34,773)	1,144,803	-	(4,266,726)	34,686,930
Operating expenses	(21,991,257)	(3,126,448)	(1,994,180)	(693,712)	(1,081,700)	-	4,976,306	(23,910,991)
Results from operating activities	10,578,697	136,356	16,688	(728,485)	63,103	-	709,580	10,775,939
Share of profits of equity accounted investees	-	-	-	-	-	934,336	-	934,336
Profit before taxation	10,578,697	136,356	16,688	(728,485)	63,103	934,336	709,580	11,710,275

For the six month period ended 30 September 2018	Financial Services	Long term & General Insurance	Manufacturing & Trading	Leisure & Entertainment	Plantation & Power Generation	Equity Accounted Investees	Others / Eliminations	Total
	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000
Net impairment (loss) / reversal on financial assets	5,663,638	-	137,935	-	-	-	3,921	**5,805,494**
Depreciation and amortization	748,903	30,129	204,659	124,578	138,683	-	(28,394)	**1,218,559**
Total assets (as at 30 September 2018)	915,907,721	12,012,014	74,924,484	53,069,243	10,190,444	-	(137,648,697)	**928,455,208**
Total liabilities (as at 30 September 2018)	762,368,878	7,877,159	30,480,062	26,655,753	6,875,954	-	(35,772,452)	**798,485,355**
For the six month period ended 30 September 2017								
Net impairment (loss) / reversal on financial assets	3,743,485	-	-	-	-	-	-	**3,743,485**
Depreciation and amortization	675,838	22,238	139,517	127,491	127,263	-	4,380	**1,096,727**
Total assets (as at 30 September 2017)	714,689,099	10,294,195	45,912,770	39,000,314	9,464,665	-	(71,390,115)	**747,970,928**
Total liabilities (as at 30 September 2017)	608,343,793	6,961,868	24,702,705	17,361,248	6,198,662	-	(25,668,706)	**637,899,570**

LOLC Holdings PLC
(Formerly known as Lanka Orix Leasing Company PLC)
Valuation of Financial Assets and Liabilities

In Rs'000

As at 30 September 2018 - Group	Fair value - derivatives	Fair value - held for trading	Fair value through other comprehensive income - available for sale	Amortised cost / Not measured at fair value	Total carrying amount	Fair value	Fair value measurement level
Trading assets - fair value through profit or loss	-	8,064,411	-	-	**8,064,411**	**8,064,411**	Level 1 and Level 2
Investment securities	-	-	17,802,882	61,979,493	**79,782,375**	**79,782,375**	Level 1 and Level 2
Finance lease receivables, hire purchases and operating leases	-	-	-	59,957,632	**59,957,632**	**59,334,073**	Level 3
Advances and other loans	-	-	-	559,362,382	**559,362,382**	**559,000,474**	Level 3
Total financial assets	**-**	**8,064,411**	**17,802,882**	**681,299,507**	**707,166,800**	**706,181,334**	
Trading liabilities - fair value through profit or loss	35,127	-	-	-	**35,127**	**35,127**	Level 1
Deposits liabilities	-	-	-	377,177,778	**377,177,778**	**379,440,844**	Level 3
Interest bearing borrowings	-	-	-	360,195,858	**360,195,858**	**362,357,033**	Level 3
Total financial liabilities	**35,127**	**-**	**-**	**737,373,636**	**737,408,763**	**741,833,005**	

In Rs'000

As at 31st March 2018 - Group	Fair value - derivatives	Fair value - held for trading	Fair value through other comprehensive income - available for sale	Amortised cost / Not measured at fair value	Total carrying amount	Fair value	Fair value measurement level
Trading assets - fair value through profit or loss	-	3,168,463	-	-	**3,168,463**	**3,168,463**	Level 1 and Level 2
Investment securities	-	-	12,434,835	67,701,778	**80,136,613**	**55,379,321**	Level 1 and Level 2
Finance lease receivables, hire purchases and operating leases	-	-	-	56,724,874	**56,724,874**	**57,299,901**	Level 3
Advances and other loans	-	-	-	493,251,097	**493,251,097**	**493,781,850**	Level 3
Total financial assets	**-**	**3,168,463**	**12,434,835**	**617,677,749**	**633,281,047**	**609,629,535**	
Trading liabilities - fair value through profit or loss	754,089	-	-	-	**754,089**	**754,089**	Level 1
Deposits liabilities	-	-	-	307,528,600	**307,528,600**	**308,359,254**	Level 3
Interest bearing borrowings	-	-	-	332,254,802	**332,254,802**	**333,936,603**	Level 3
Total financial liabilities	**754,089**	**-**	**-**	**639,783,402**	**640,537,491**	**643,049,946**	

For the cash and cash equivalents, short term receivables and payables, the fair value reasonably approximates its costs.

LOLC Holdings PLC
(Formerly known as Lanka Orix Leasing Company PLC)
Statement of Directors' holding and Chief Executive Officer's holding in shares of the Entity as at 30 September 2018

Directors Name	No of shares	%
Mr. I C Nanayakkara		
Held shares in the following manner		
Mr. I C Nanayakkara	91,613,792.000	19.279
Commercial Bank/I C Nanayakkara	79,000,000.000	16.625
Sampath Bank/I C Nanayakkara	61,774,000.000	12.999
Mr. W D K Jayawardena	-	-
Group Managing Director / CEO		
Mrs. K U Amarasinghe	23,760,000	5.000
Deshamanya M D D Peiris	-	-
Dr. R A Fernando	12,600	0.003

Top 20 shareholders as at 30 September 2018

	Shareholder	No. of Shares	% of Issued Capital
1	LOLC Holdings (Private) Limited	142,458,490	29.979
2	Mr. I C Nanayakkara	91,613,792	19.279
3	Commercial Bank of Ceylon PLC/ Ishara Chinthaka Nanayakkara	61,774,000	13.000
4	Sampath Bank PLC/ Ishara Chinthaka Nanayakkara	79,000,000	16.625
5	Mrs. K U Amarasinghe	23,760,000	5.000
6	Employees Provident Fund	15,182,259	3.195
7	BBH - Matthews International Funds - Matthews Asia Growth Fund	12,121,473	2.551
8	BBH - Matthews Emerging Asia Fund	7,511,241	1.581
9	Kashyapa Capital (Pvt) Ltd	8,671,625	1.825
10	Creation Investments SLI LLC	3,811,644	0.802
11	Mrs. I Nanayakkara	2,827,948	0.595
12	Mr. R C De Silva	1,710,000	0.360
13	J B Cocoshell (Pvt) Ltd	1,529,920	0.322
14	Swastika Mills Ltd	985,703	0.207
15	Mrs. S N Fernando	818,440	0.172
16	Dr. M Ponnambalam	772,616	0.163
17	Mr. G G Ponnambalam	766,818	0.161
18	Capital Thust Holdings Ltd	676,623	0.142
19	Mr. R Maheswaran	500,000	0.105
20	Miss. A Radhakrishnan	500,000	0.105
21	Miss. M P Radhakrishnan	500,000	0.105
		457,492,592	**96.274**

	30th September 2018
The float adjusted market capitalization	6,593,632,538
Public Shareholding	16.12%
No. of Public shareholders	2,878
Compiance Level	Complied under Option 02